CROSS-BORDER TRADE ENVIRONMENT

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AGENDA

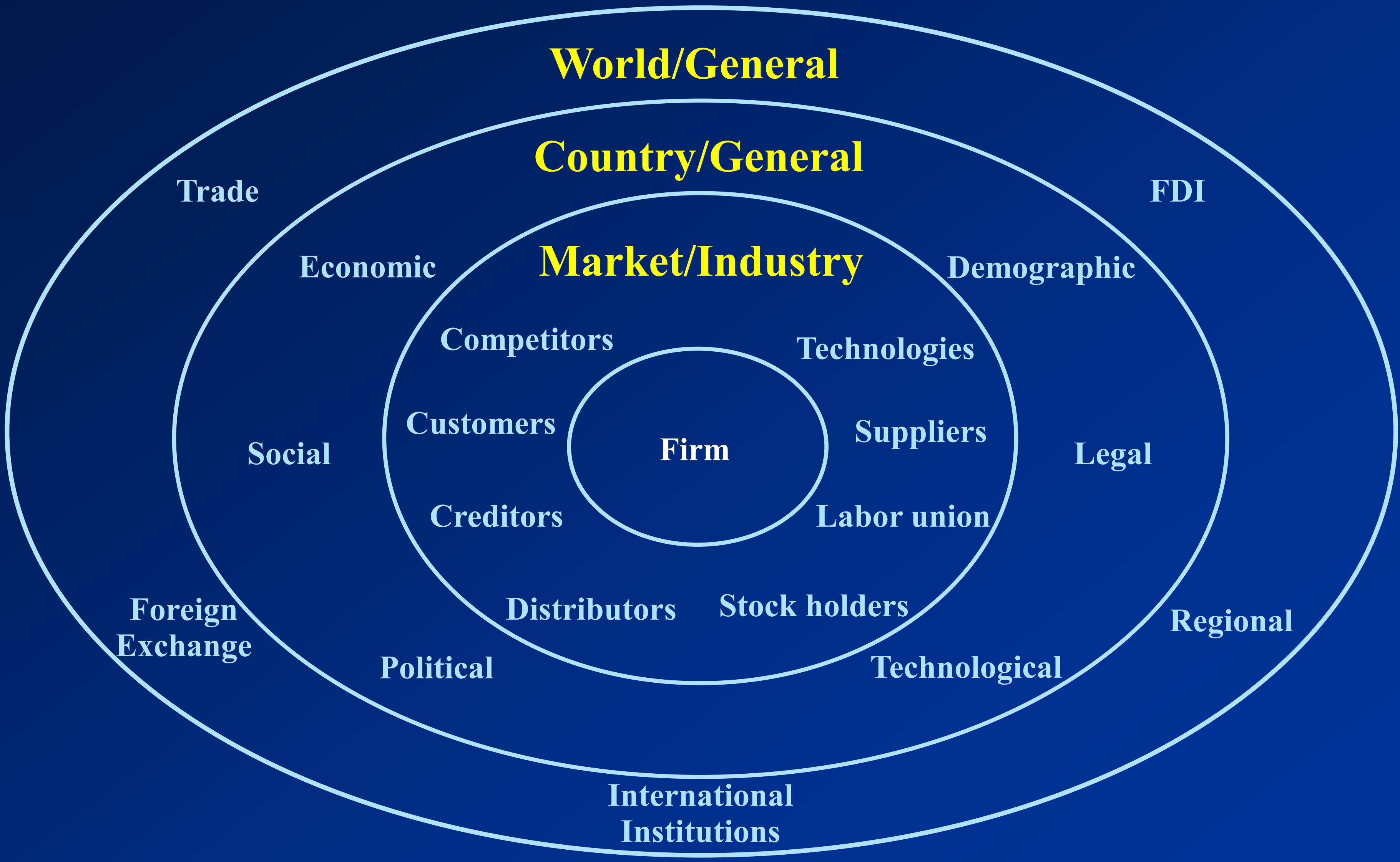
International Trade Theory

Trade Policy

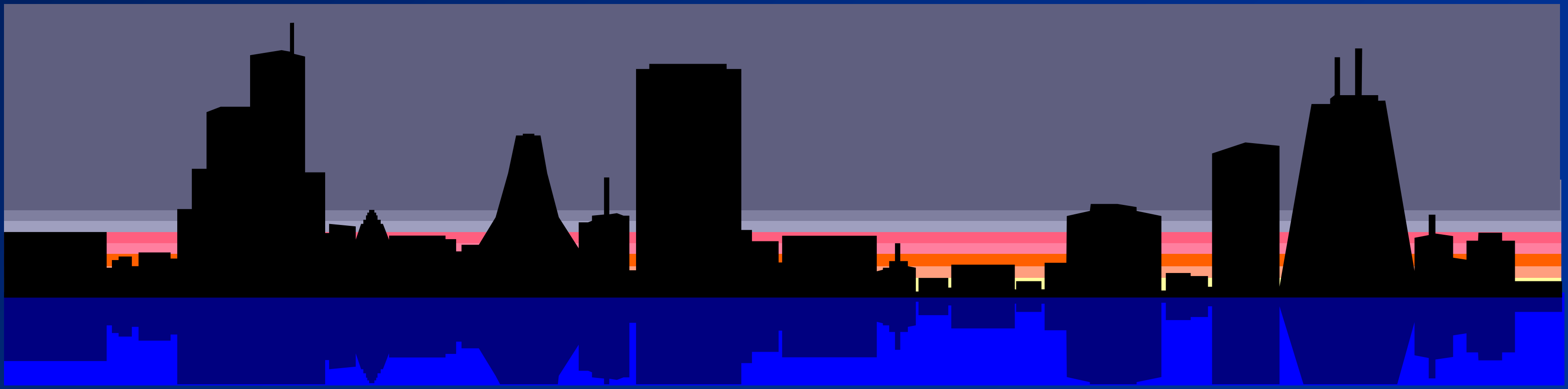
World Trading System

Implications for Businesses

COMPONENTS OF GLOBAL BUSINESS ENVIRONMENT



International Trade Theory



INTERNATIONAL TRADE THEORY

- Mercantilism
- Absolute Advantage
- Comparative Advantage
- Heckscher-Ohlin Theory
- Product Life Cycle Theory
- Strategic Trade Theory
- Competitive Advantage (Porter's Diamond)

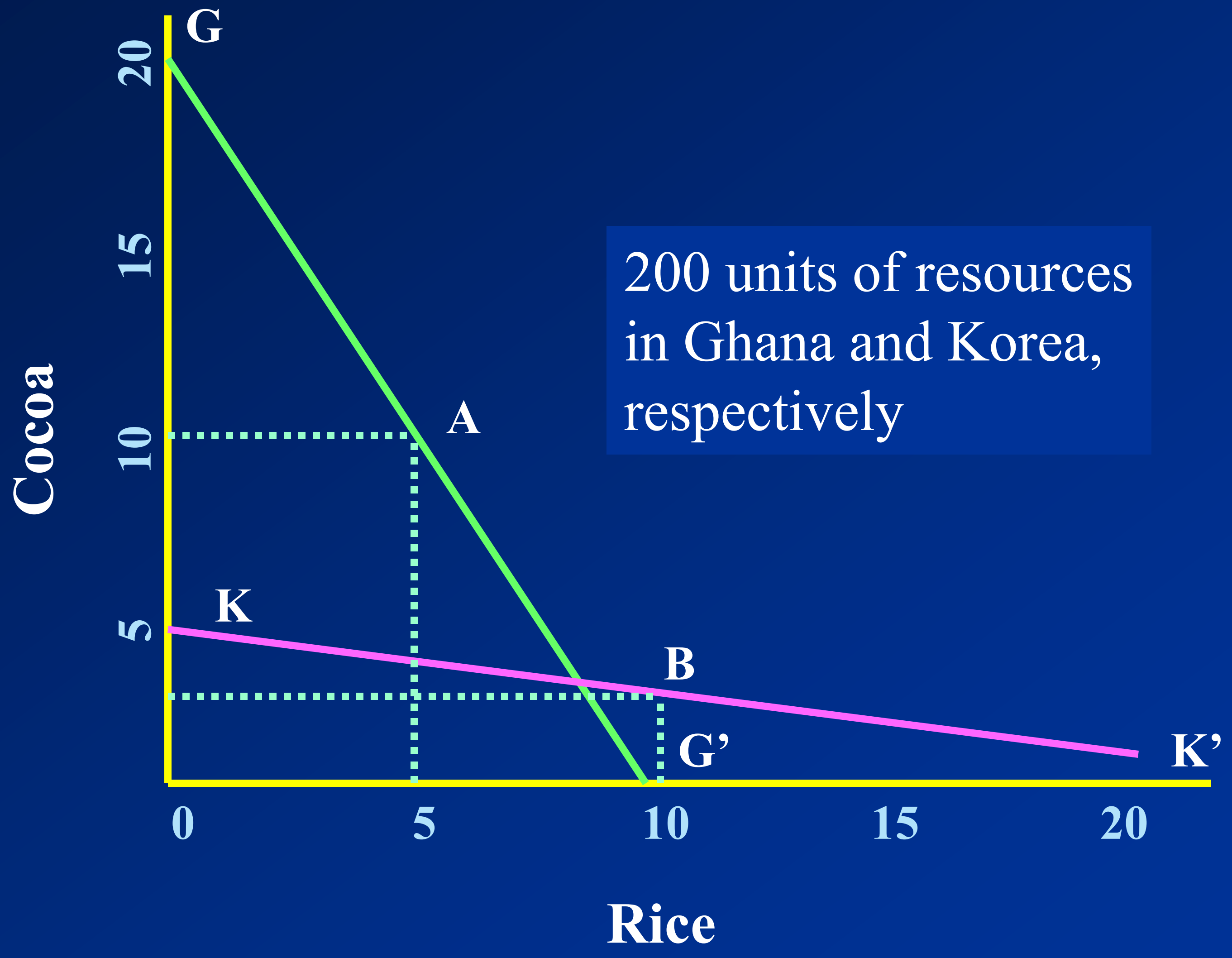
Mercantilism

- Mid-16th up to 18th centuries
- A nation's power and wealth depend on accumulated treasure (precious metals).
- Gold and silver are the currency of trade.
- Nations should have a trade surplus by
  - Maximizing exports through subsidies.
  - Minimizing imports through tariffs and quotas.
- Trade is a zero-sum game.
  - A nation can gain in trade only at the expense of other nations.
  - Government intervention is good.

Theory of Absolute Advantage

- Adam Smith: *Wealth of Nations* (1776)
- Assumes: 1) two nations, 2) one factor of production – labor, 3) two commodities
- A nation has absolute advantage in a commodity when the nation produces it more efficiently than the other nation.
- Two nations trade only when each has *absolute advantage* in one commodity and *absolute disadvantage* in the other commodity.
- Both nations gain by each *specializing* in producing the commodity with its absolute advantage and exchanging part of its output with the other nation for the commodity with its absolute disadvantage.
- All nations will gain from free trade (Trade is a positive sum game).
- Laissez-faire (no/little government intervention)
- *Sources of Advantage*: Higher productivity - Nature like climate

Theory of Absolute Advantage



Absolute Advantage and Gains from Trade

Resources Required to Produce 1 Ton of Cocoa and Rice

	Cocoa	Rice
Ghana	10	20
S. Korea	40	10

Production and Consumption without Trade

Ghana	10.0	5.0
S. Korea	2.5	10.0
Total production	12.5	15.0

Production with Specialization

Ghana	20	0
S. Korea	0	20
Total production	20	20

Consumption after Ghana Trades 6T of Cocoa for 6TSouth Korean Rice

Ghana	14.0	6.0
S. Korea	6.0	14.0

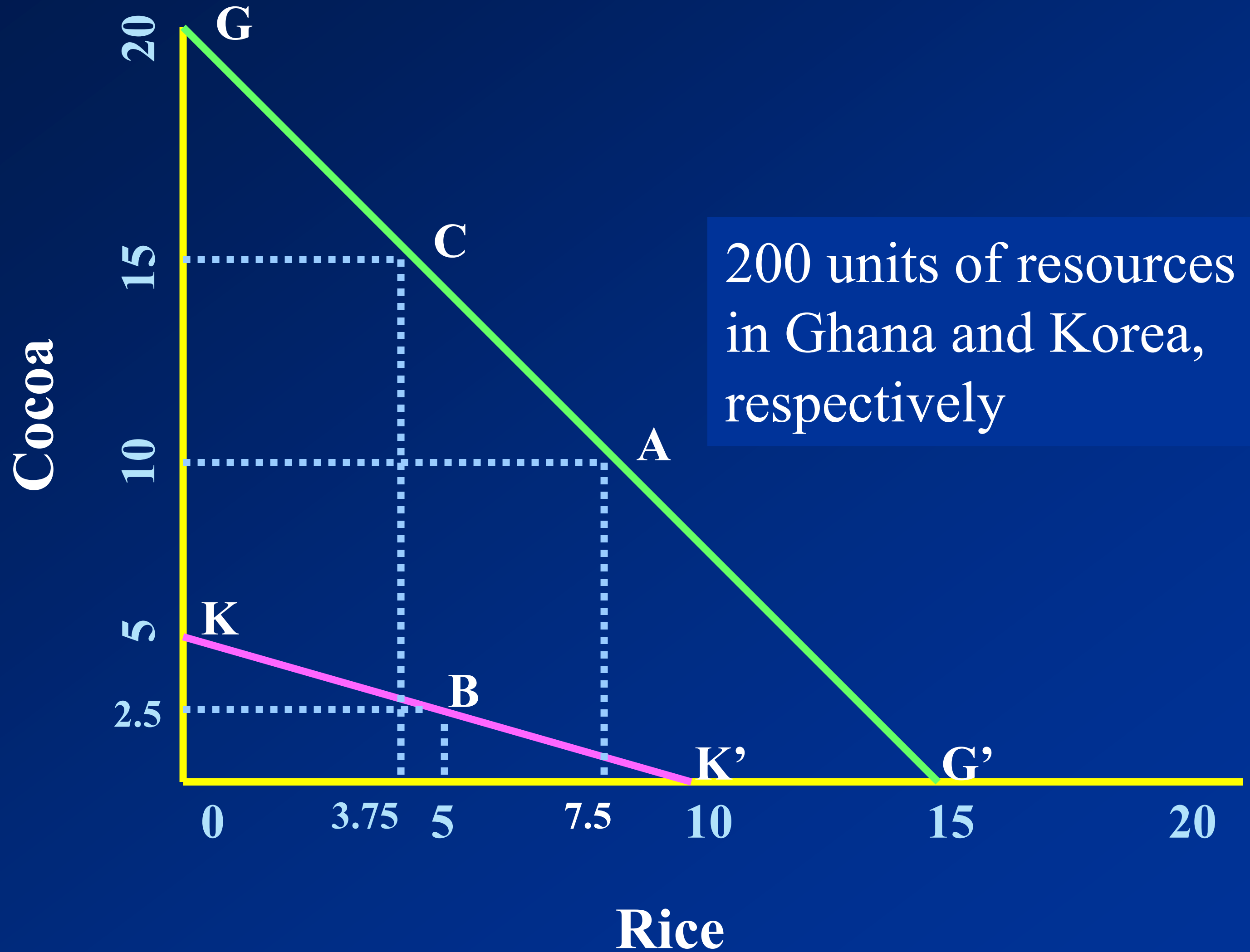
Increase in Consumption as a Result of Specialization and Trade

Ghana	4.0	1.0
S. Korea	3.5	4.0

Theory of Comparative Advantage

- David Ricardo: *Principles of Political Economy (*1817).
- Assumes:
  1) Two nations and two commodities only
  2) Perfect mobility of labor within each nation, but immobility between nations
  3) Constant cost of production; 4) No transportation costs; 5) No technical change, etc
- Even if a nation has absolute disadvantage in producing both commodities, both nations can still gain from trade.
- A nation should specialize in producing and exporting the commodity with *comparative advantage* (larger absolute advantage or smaller absolute disadvantage) and import the commodity with *comparative disadvantage* (smaller absolute advantage or larger absolute disadvantage).
- All nations gain from free trade (Trade is a positive sum game).
- *Sources of Advantage*: Higher productivity - labor

Theory of Comparative Advantage



200 units of resources in Ghana and Korea, respectively

Comparative Advantage and Gains from Trade

Resources Required to Produce 1 Ton of Cocoa and Rice	Cocoa	Rice
Ghana	10	13.33
S. Korea	40	20
Production and Consumption without Trade		
Ghana	10.0	7.5
S. Korea	2.5	5.0
Total production	12.5	12.5
Production with Specialization		
Ghana	15	3.75
S. Korea	0.0	10.0
Total production	15	13.75
Consumption after Ghana Trades 4T of Cocoa for 4TSouth Korean		
Ghana	11	7.75
S. Korea	4	6
Increase in Consumption as a Result of Specialization and Trade		
Ghana	1.0	0.25
S. Korea	1.5	1.0

Heckscher-Olin Theory: Comparative advantage based on factor endowments

- Assumes
  - Two nations (1 & 2), two commodities (X & Y), and two factors of production (labor & capital)
  - Commodity X (labor intensive) & Y (capital intensive) in both countries
  - Same technology in production used in both countries
  - Constant returns to scale
  - Incomplete specialization
  - Equal tastes in both nations
  - Perfect competition in both commodities & factor markets in both nations
  - Perfect internal factor mobility but no international factor mobility
  - No transportation costs, tariffs, other barriers
  - Full employment of all resources in both nations

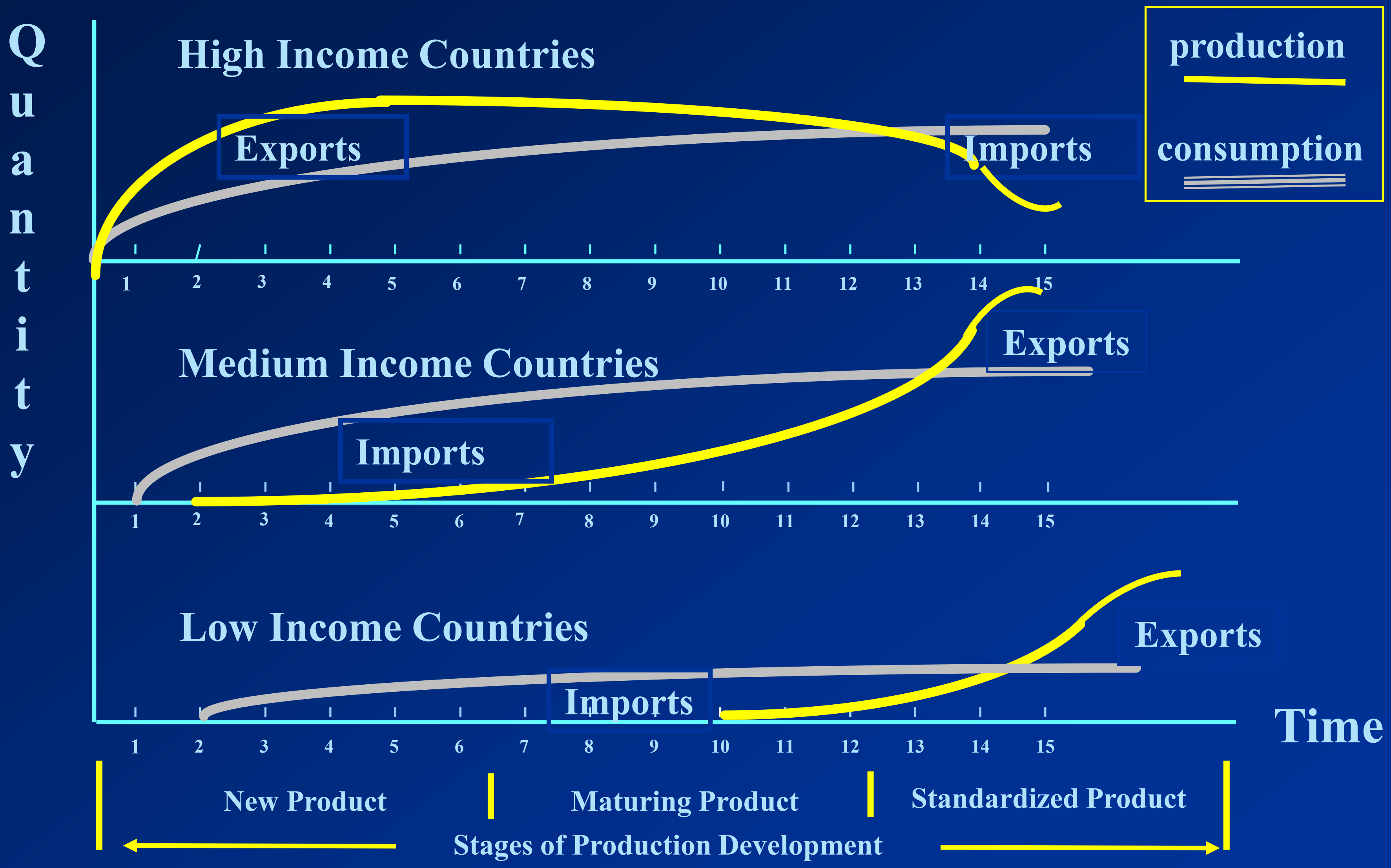
Heckscher-Olin Theory: Comparative advantage based on factor endowments

- A nation will export the commodity whose production requires the intensive use of the nation's relatively abundant and cheap factor and import the commodity whose production requires the intensive use of the nation's relatively scarce and expensive factor.
- The relatively labor-rich nation should export the relatively labor-intensive commodity and imports the relatively capital-intensive commodity.
- The differences in relative factor abundance (factor endowments) among nations is the basic determinants of comparative advantage.
- Source of advantage – factor endowments

Product Life Cycle Theory

- Raymond Vernon (1966)
- As products mature, the location of optimal production and sales can change.
- This affects the direction and flow of exports and imports.
- Globalization and integration of the economy makes this theory less valid.

Product Life Cycle Theory



Strategic Trade Theory

- Krugman in the 1970s.
- Firms that establish a first-mover advantage in the production of a new product may later dominate global trade in that product.
- This kind of industries has substantial economies of scale with high fixed costs.
- World demand will support few competitors. Hence, first mover advantages are great. “Getting there first” is critical.
- This promotes government intervention and strategic trade policy.
- Example: Boeing & Airbus

Strategic Trade Theory

FIGURE 5.5 ENTERING THE VERY LARGE, SUPERJUMBO MARKET?

Panel A. Without Government Subsidy (Outcome = Airbus, Boeing)

Airbus \ Boeing	*Enter*	*Don't Enter*
Enter	*Cell 1* –$5 billion, –$5 billion	*Cell 2* $20 billion, 0
Don't Enter	*Cell 3* 0, $20 billion	*Cell 4* 0, 0

Panel B. With $10 Billion Subsidy from European Governments (Outcome = Airbus, Boeing)

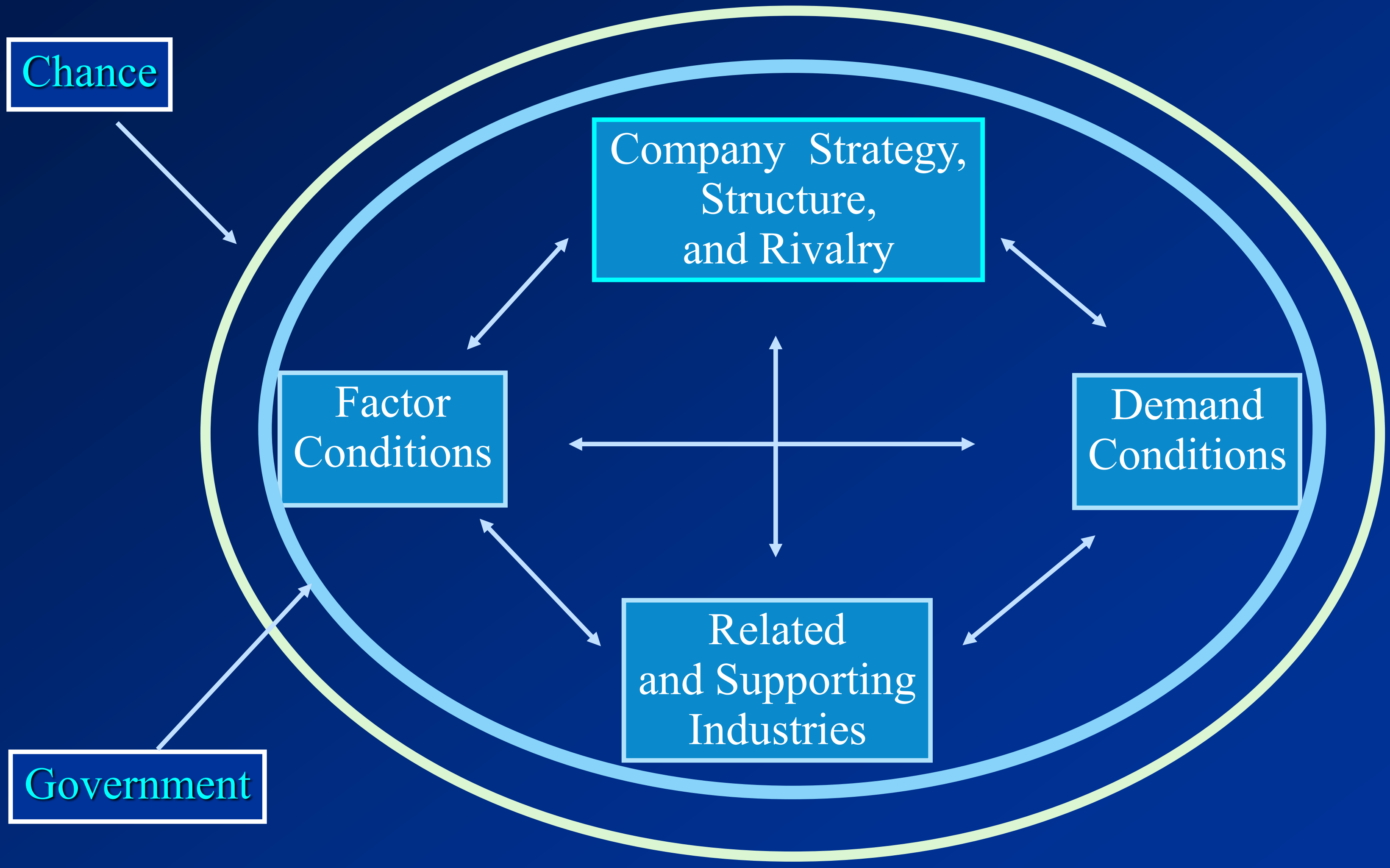
Airbus \ Boeing	*Enter*	*Don't Enter*
Enter	*Cell 1* $5 billion, –$5 billion	*Cell 2* $30 billion, 0
Don't Enter	*Cell 3* 0, $20 billion	*Cell 4* 0, 0

Theory of Competitive Advantage (Porter's Diamond)

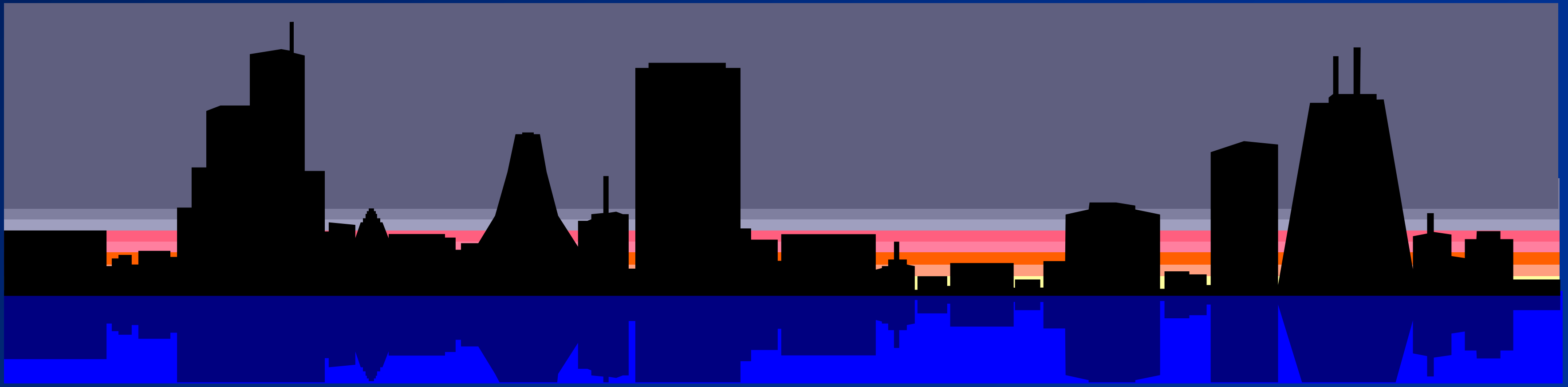
- Porter: *The Competitive Advantage of Nations* (1990)
- Addresses the question of *why a nation achieves international competitiveness <u>in a particular industry</u>*.
- Argues that an industry of a nation with the following four conditions met tends to have international competitive advantage:
  - Factor conditions
  - Market conditions
  - Related and supporting industries
  - Company strategy, structure, and rivalry
- *Sources of Advantage*:

  Competitive Advantage = Man-made comparative advantage

Theory of Competitive Advantage (Porter's Diamond)



Trade Policy



INSTRUMENTS OF TRADE POLICY

Instruments for restricting international trade

(Instruments for protection)

- Tariffs
- Import Quotas
- Voluntary Export Restraints
- Subsidies
- Domestic Content Requirements
- Antidumping Policies
- Administrative Policies, etc.

INSTRUMENTS OF TRADE POLICY

- *Tariffs* – oldest form of trade policy

  - Specific: US$10 per unit imported

  - *Ad valorem*: percentage per unit imported

- *Import Quotas*:

  - Restriction on the quantity of goods imported into a country.

- *Voluntary Export Restraints*:

  - Quota on trade imposed by exporting country, typically at the request of the importing country.

  - Effects are the same as those of tariffs; tighter restriction.

INSTRUMENTS OF TRADE POLICY

- *Subsidies*

  - Payment to domestic producers: cash grants, tax breaks, low-interest loans, gov’t equity participation(Airbus), etc.

- *Domestic(Local) Content Requirements*

  - Requires some specific percentage of goods to be produced domestically to be able to sell them in the local market

- *Antidumping Policies*

  - Selling goods in a foreign market below production costs or fair market value -> seek imposition of tariffs (countervailing duties)

- *Administrative Policies*

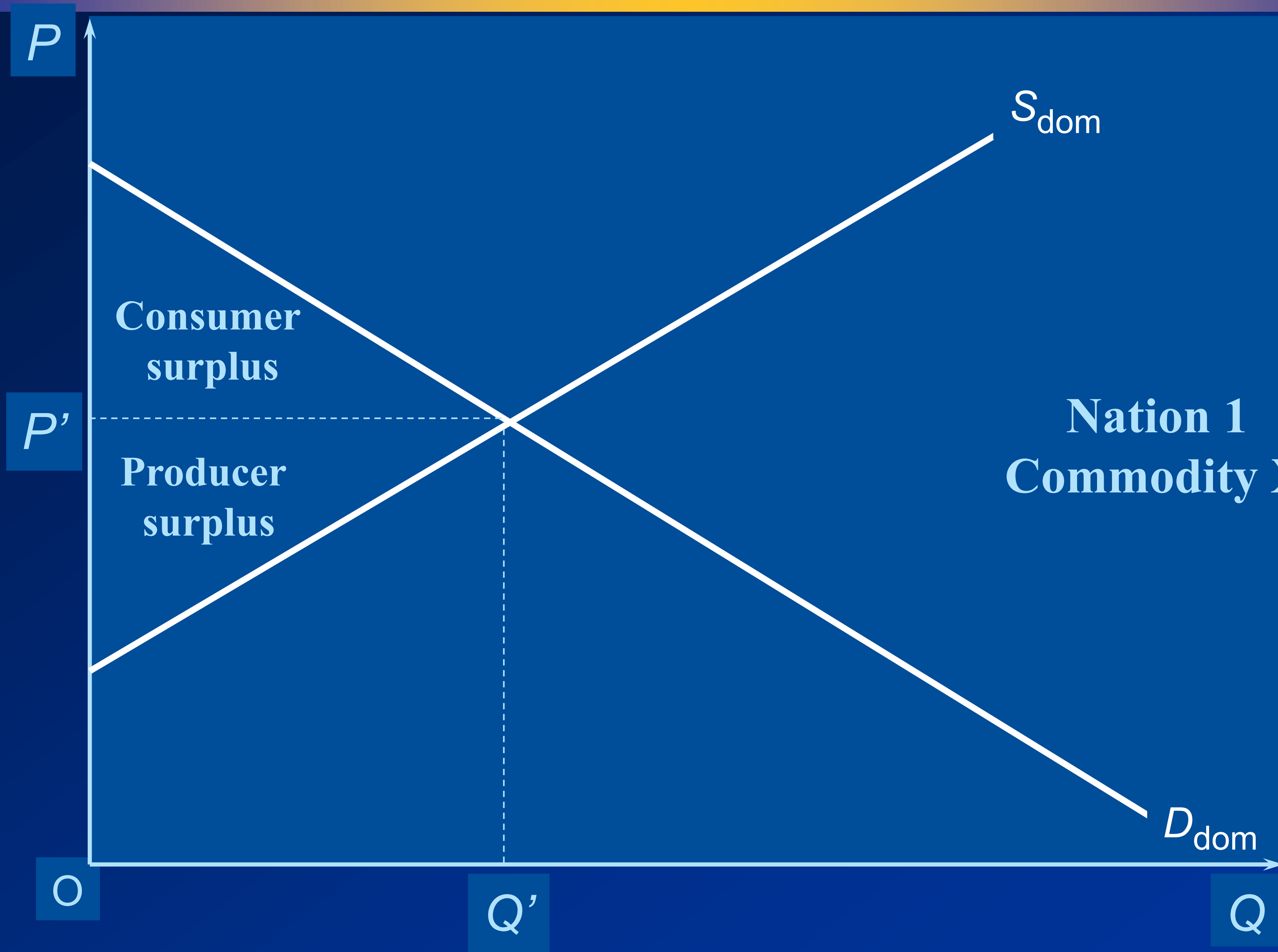
  - Bureaucratic rules to make it difficult for imports to enter a country (e.g., Tulip bulbs, Federal Express)

IMPACT OF TRADE POLICY

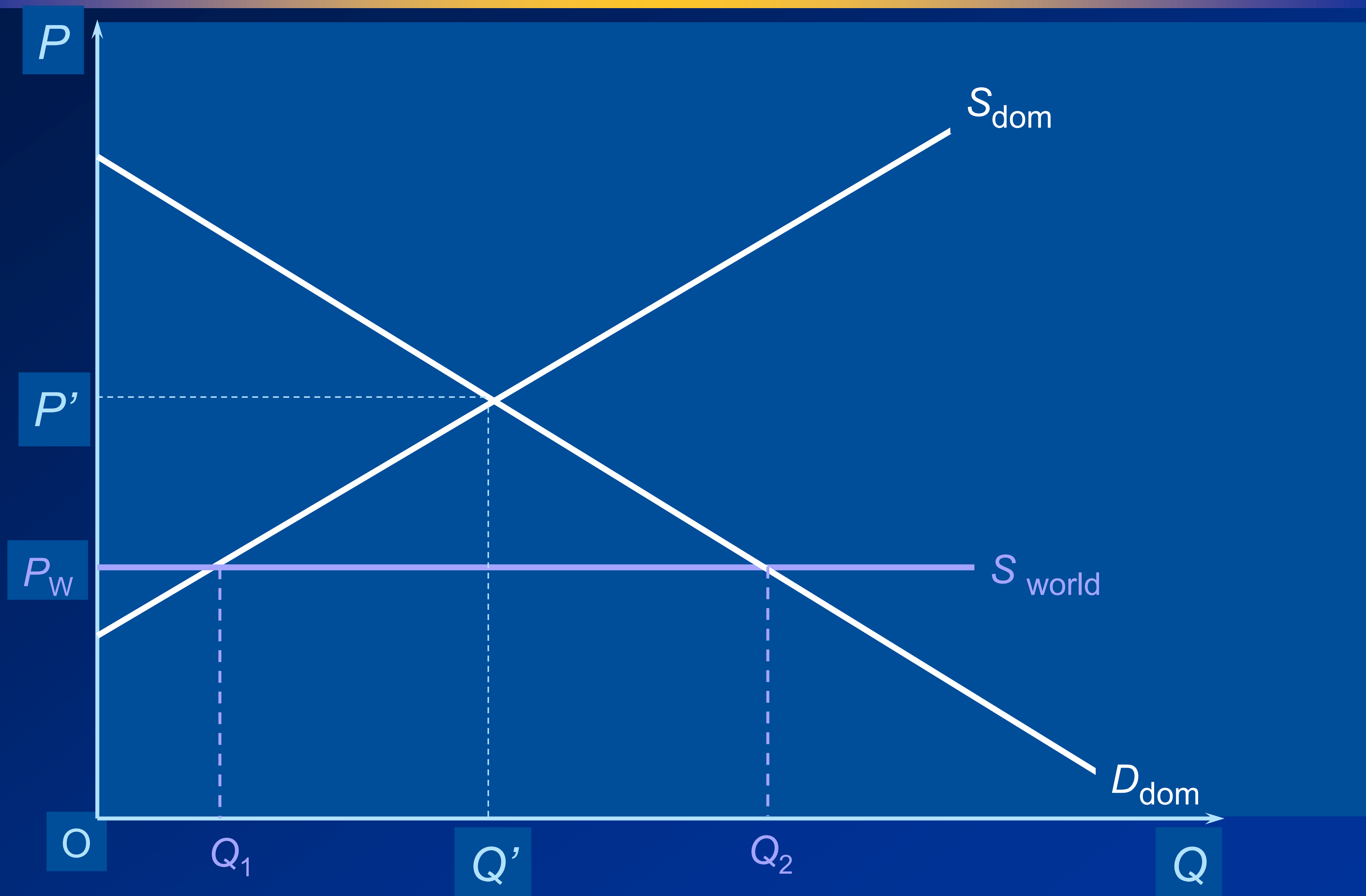
Impact of a government's restricting international trade (Impact of protection)

- Good for domestic producers
- Good for the government
- Bad for domestic consumers

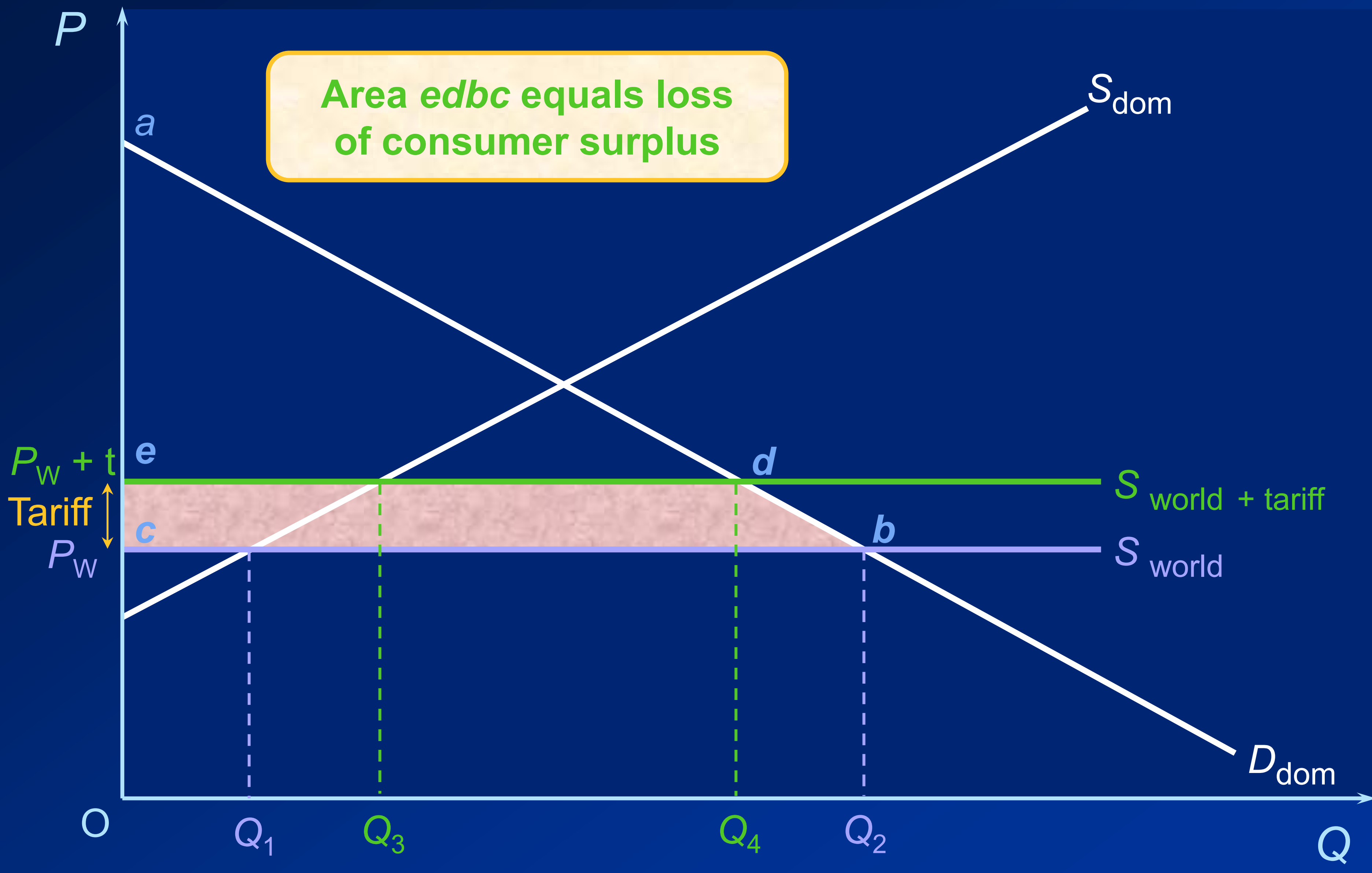
IMPACT OF TRADE POLICY



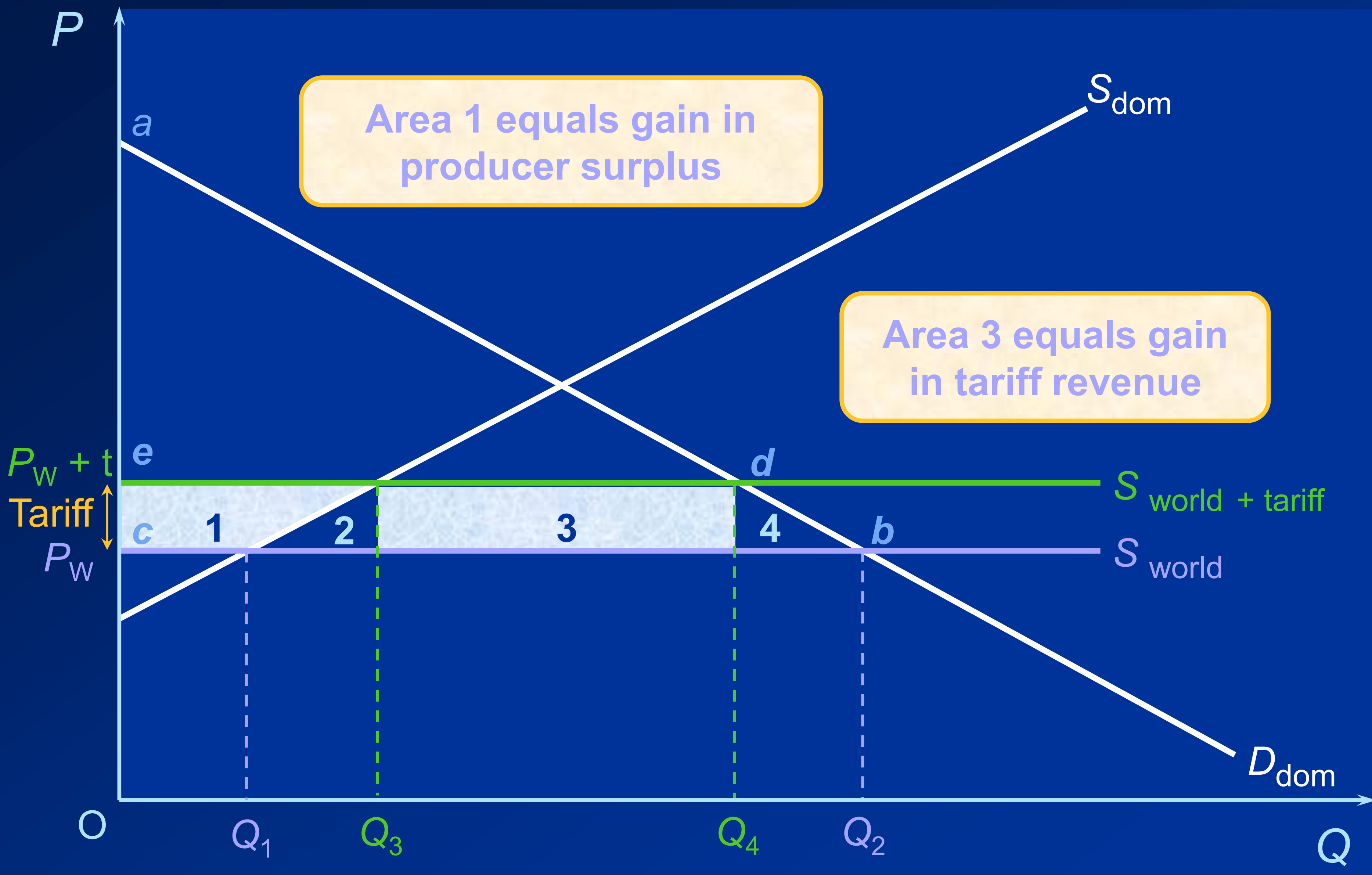
IMPACT OF TRADE POLICY



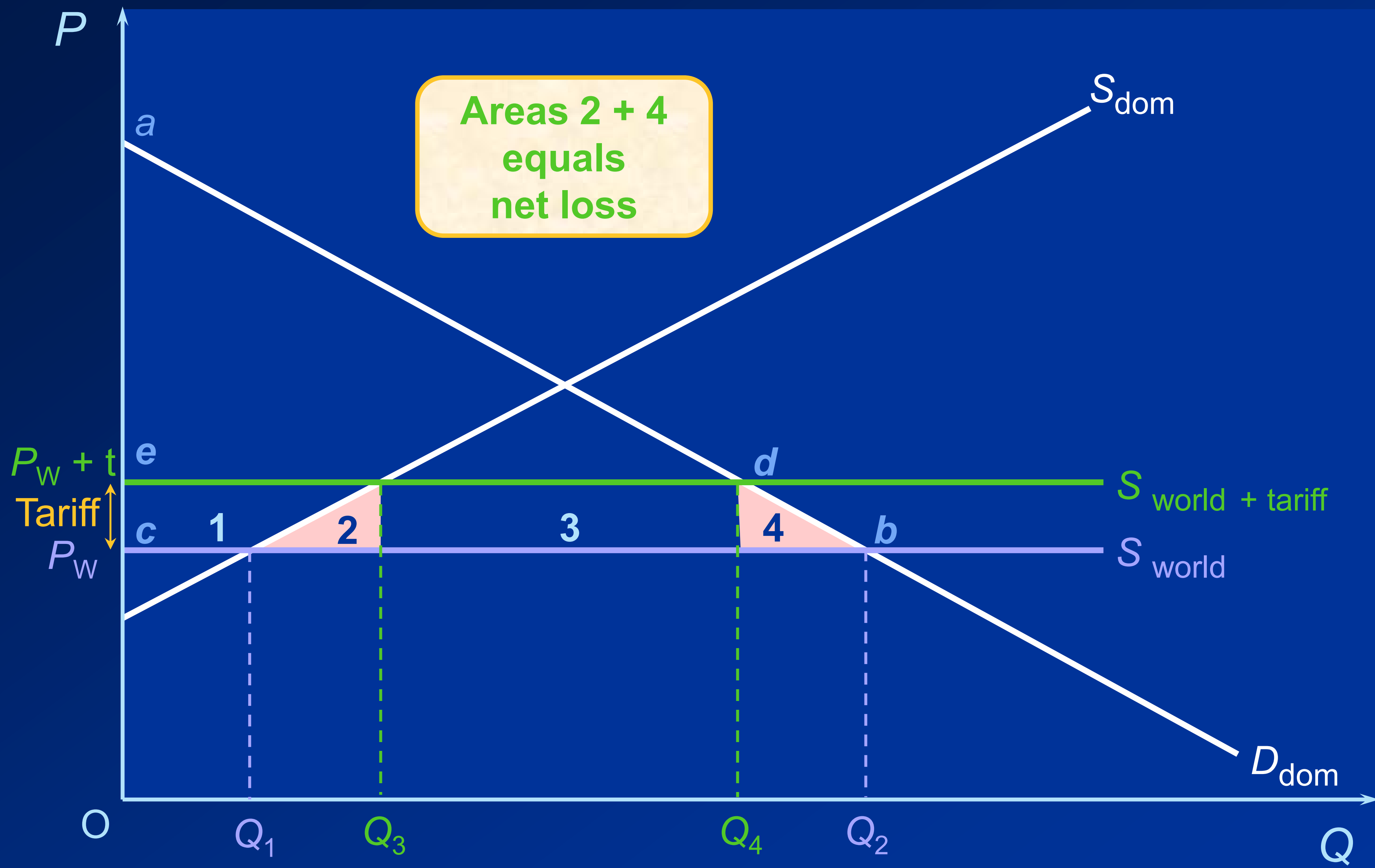
IMPACT OF TRADE POLICY



IMPACT OF TRADE POLICY



IMPACT OF TRADE POLICY



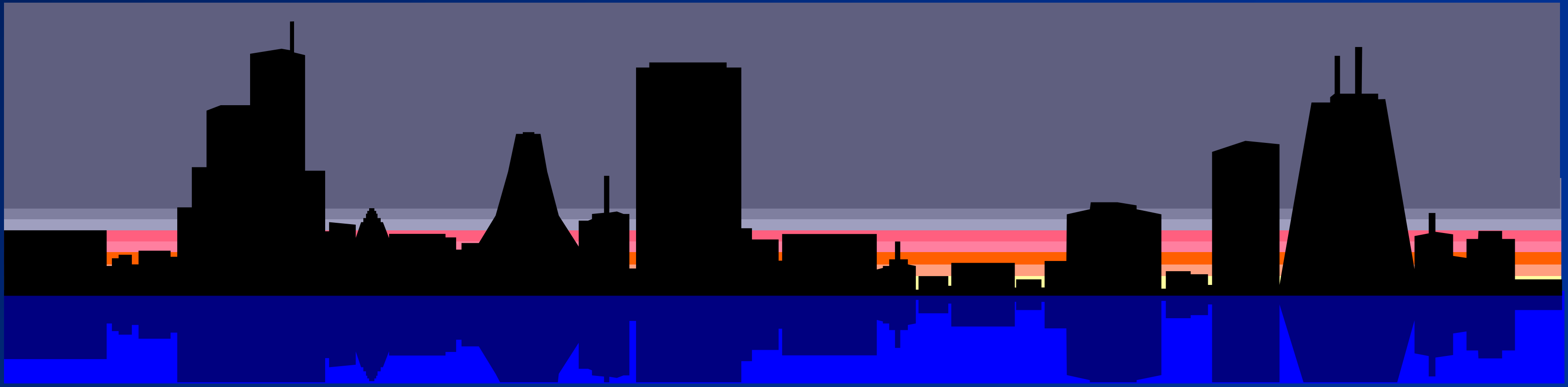
POLITICAL ARGUMENTS FOR PROTECTION

- Protecting domestic jobs and industries.
- National security.
  - Defense industries - semiconductors.
- Retaliation.
- Protecting consumers.
- Furthering foreign policy objectives.
- Protecting human rights.
  - MFN (most favored nation)

ECONOMIC ARGUMENTS FOR PROTECTION

- Infant industry.
  - Oldest argument - Alexander Hamilton, 1792.
  - Protected under the WTO.
  - Only good if it makes the industry efficient.
- Strategic trade policy.
  - Government helps raise national income if the first-mover advantage is achieved.
  - Government intervention may help domestic firms overcome the first-mover advantage of foreign firms.

World Trading System



WORLD TRADING SYSTEM

- Prior to 1947

  From Smith to the Great Depression (England to US)

- 1947-1979

  GATT, trade liberalization, & economic growth

- 1980-1994

  Rise of Japan, US trade deficit, Ineffective GATT

- 1995-

  World Trade Organization; Uruguay Round (1986-1994)

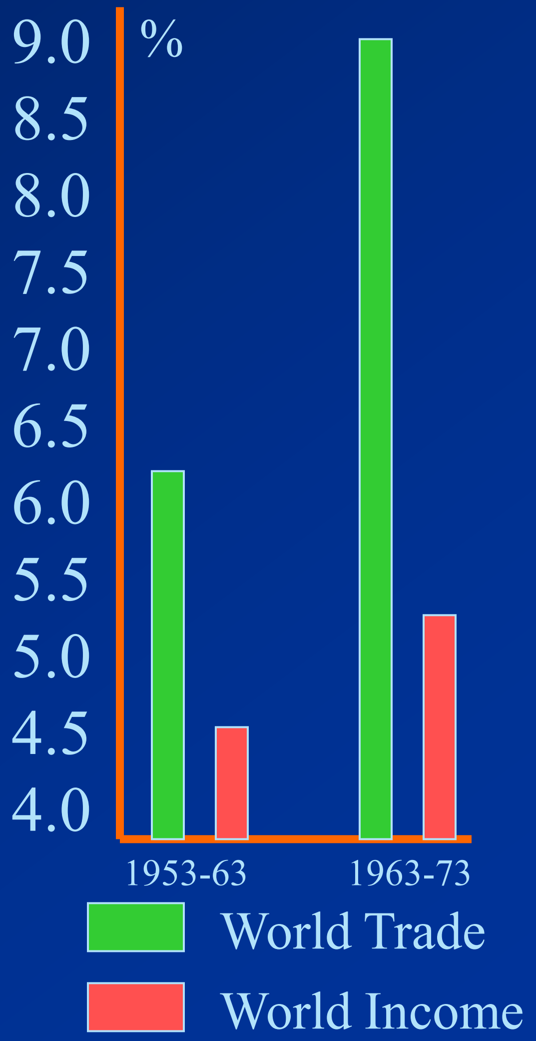
General Agreement on Tariffs and Trade (GATT)

- An international organization in a trade arena similar to UN in a political arena
- GATT proposed by US in 1947 – 19 members
- Multilateral agreements to liberalize trade by eliminating tariffs, subsidies, import quotas, etc.
- Covers trade in manufacturing goods/commodities only
- Used ‘rounds’ to gradually reduce trade barriers.

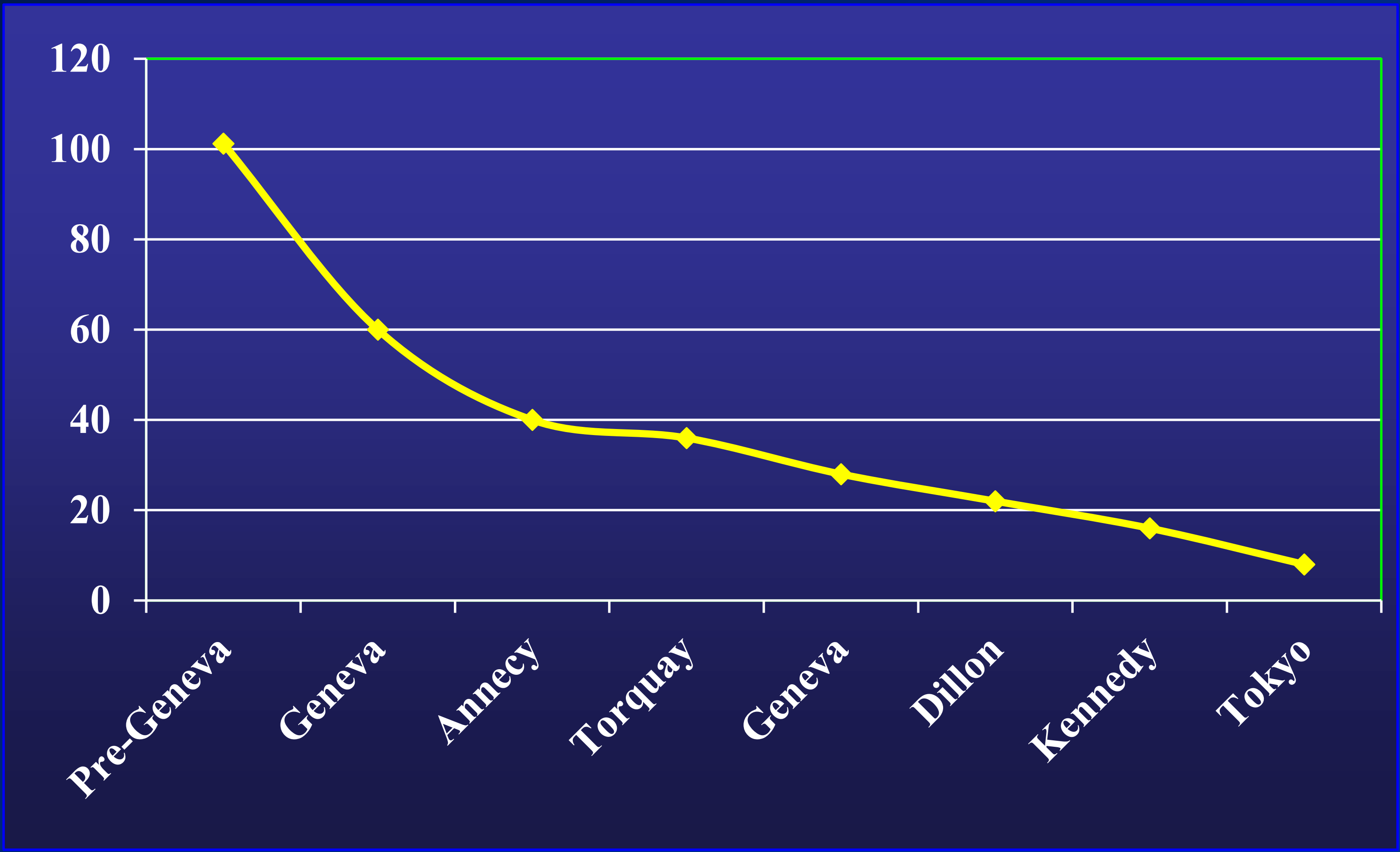
GATT Negotiating Rounds

Geneva	1947	19
Annecy	1949	13
Torquay	1950-51	38
Geneva	1956	26
Dillon	1960-62	45
Kennedy	1964-67	62
Tokyo	1973-79	99
Uruguay	1986-94	117
Doha	2001-	157

Growth Under GATT



Average Reduction in US Tariff Rates



Uruguay Round

- Produced the most comprehensive trade agreement in history.
- Created the World Trade Organization (WTO) in January 1995.
- Impacted:
  - Applied GATT rules to cover trade in services in addition to trade in goods & commodities
  - Sought to write rules governing the protection of intellectual property (patents, copyrights, and trademarks)
  - Sought to reduce agriculture subsidies (US/EU).
  - Strengthened the GATT's monitoring and enforcement mechanisms

World Trade Organization

- Became an umbrella organization that encompasses:
  - GATT
  - General Agreement on Trade in Services (GATS)
  - Agreement on Trade-Related Aspects of IP Rights(TRIPS), etc
- WTO's Main Function:
  - Implementation, administration and operation of the covered agreements
  - Forum for negotiations / new agreements(Telecommunications / financial services agreements in 1997)
  - Dispute settlement (104 disputes brought to WTO in the first 3 years, while 196 handled by GATT during its 50-year history).
  - Review of national trade policies

WTO in Seattle (Millennium Round)

- To further reduce barriers to trade and investment:
  - Reducing antidumping actions
  - Reducing protectionism in agriculture
  - Protecting intellectual property
  - Greater market access for industrial goods and services
- But failed primarily because of the issues of:
  - Eliminating subsidies to agricultural exporters (US vs. EU)
  - Writing “basic labor rights” into the law of the world trading system (US vs. Developing countries)
  - Environmental concerns, human rights, and labor-related issues (Developed vs. Developing countries)

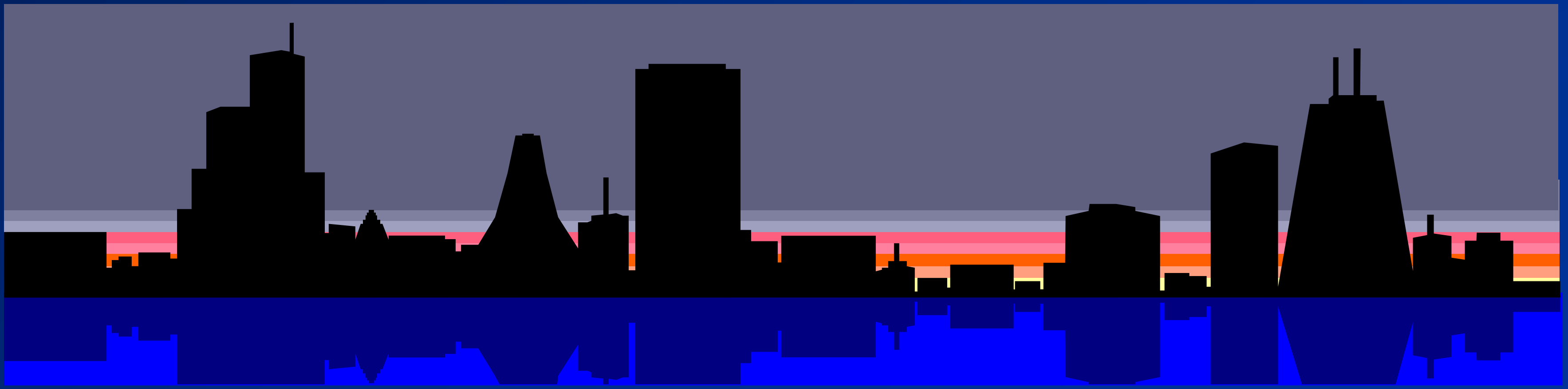
Doha Round

- The agreed agenda for the talk includes:
  - Cutting tariffs on industrial goods and services
  - Phasing out subsidies to agricultural producers
  - Reducing barriers to cross-border investment
  - Limiting the use of antidumping laws
- To be successful, members have to give in something.
  - EU & Japan – subsidy to farmers
  - US – antidumping practices – steel producers for example
  - Developing countries – opening up their market, etc.

World Trade Organization as of 2022

- WTO: 164 members, including China(2001) and Russia(2012)
- WTO: Experience to date
  - WTO as global police
  - Expanded trade agreements: goods + services & investment
- WTO Unresolved issues
  - Antidumping actions
  - Protectionism in agriculture
  - Protection of intellectual property
  - Market access for nonagricultural goods and services
- WTO does not function properly.
- Emergence of bilateral and regional trade agreements
- The world trading system is under threat.

Implications for Businesses



IMPLICATIONS FOR BUSINESSES

- Firms operate globally within the context of trade environment, and they have room for influencing and maneuvering the context:
- Location implications:

  Firms need to exploit location advantages. Different countries have advantages in different productive activities, and it makes sense to disperse business activities to countries where they can be performed most efficiently.
- First-mover implications:

  Firms that establish a first-mover advantage in the production of a new product may later dominate global trade in that product. It pays to invest substantial financial resources in building a first-mover or early-mover advantage.

IMPLICATIONS FOR BUSINESSES

- Policy implications:

  Firms can exert a strong influence on government policy toward trade. Firms may lobby for free trade or for protection.

- Trade barriers impact firm strategy:

  Trade barriers can be both threats and opportunities for firms

  - raising the cost of doing business and pushing firms to disperse their productive activities globally.

- These are likely to eventually facilitate globalization.